methods the group shall elect in its first consolidated return filed for such a taxable year:

(1) The tax liability shall be apportioned among the members of the group in accordance with the ratio which that portion of the consolidated taxable income attributable to each member of the group having taxable income bears to the consolidated taxable income.

(2) The tax liability of the group shall be allocated to the several members of the group on the basis of the percentage of the total tax which the tax of such member if computed on a separate return would bear to the total amount of the taxes for all members of the group so computed.

(3) The tax liability of the group (excluding the tax increases arising from the consolidation) shall be allocated on the basis of the contribution of each member of the group to the consolidated taxable income of the group. Any tax increases arising from the consolidation shall be distributed to the several members in direct proportion to the reduction in tax liability resulting to such members from the filing of the consolidated return as measured by the difference between their tax liabilities determined on a separate return basis and their tax liabilities (determined without regard to the 2 percent increase provided by section 1503 (a)) based on their contributions to the consolidated taxable income.

(4) The tax liability of the group shall be allocated in accord with any other method selected by the group with the approval of the Secretary or his delegate.

(b) *Failure to elect.* If no election is made in such first return, the tax liability shall be allocated among the several members of the group pursuant to the method prescribed in subsection (a) (1).

§ 1.1552-1 *Earnings and profits*—(a) *General rule.* For the purpose of determining the earnings and profits of each member of an affiliated group which is required to be included in a consolidated return for such group filed for a taxable year beginning after December 31, 1953, and ending after August 16, 1954, the tax liability of the group shall be allocated among the members of the group in accordance with whichever of the following methods the group shall elect in its first consolidated return for such a taxable year:

(1) The tax liability shall be apportioned among the members of the group in accordance with the ratio which that portion of the consolidated taxable income attributable to each member of the group having taxable income bears to the consolidated taxable income.

(2) The tax liability of the group shall be allocated to the several members of the group on the basis of the percentage of the total tax which the tax of such member if computed on a separate return would bear to the total amount of the taxes for all members of the group so computed.

(3) The tax liability of the group (excluding the tax increases arising from the consolidation) shall be allocated on the basis of the contribution of each member of the group to the consolidated taxable income of the group. Any tax increases arising from the consolidation shall be distributed to the several members in direct proportion to the reduction in tax liability resulting to such members from the filing of the consolidated return as measured by the difference between their tax liabilities determined on a separate return basis and their tax liabilities (determined without regard to the 2 percent increase provided by section 1503 (a) and § 1.1502-30 (a)) based on their contributions to the consolidated taxable income.

(4) The tax liability of the group shall be allocated in accord with any other method selected by the group with the approval of the Commissioner.

(b) *Method of election.* The election under section 1552 (a) (1), (2), or (3) shall be made not later than the time prescribed by law for filing the first consolidated return of the group for a taxable year beginning after December 31, 1953, and ending after August 16, 1954 (including extensions thereof). If the group elects to allocate its tax liability in accordance with the method prescribed in section 1552 (a) (1), (2), or (3), a statement shall be attached to the return so stating. Such statement shall be made by the common parent corporation and shall be binding upon all members of the group. In the event that the group desires to allocate its tax liability in accordance with any other method pursuant to section 1552 (a) (4), approval of such method by the Commissioner must be obtained within the time prescribed above. If such approval is not obtained in such time, the group shall allocate in accordance with the method prescribed in section 1552 (a) (1). The request shall state fully the method which the group wishes to apply in apportioning the tax liability. An election once made shall be irrevocable and shall be binding upon the group with respect to the year for which made and for all future years for which a consolidated return is filed or required to be filed unless the Commissioner authorizes a change to another method prior to the time prescribed by law for filing the return for the year in which such change is to be effective.

(c) *Failure to elect.* If a group fails to make an election in accordance with paragraph (b) of this section, the method prescribed under section 1552 (a) (1) shall be applicable and shall be binding upon the group in the same manner as if an election had been made to so allocate.

[SEAL] T. COLEMAN ANDREWS,
Commissioner of Internal Revenue.

Approved: August 24, 1955.

A. N. OVERBY,
Acting Secretary of the Treasury.

[F. R. Doc. 55-7027; Filed, Aug. 29, 1955; 8:49 a. m.]

TITLE 32A—NATIONAL DEFENSE, APPENDIX

Chapter I—Office of Defense Mobilization

[Defense Mobilization Order-VII-3, Supp. 1]

DMO VII-3, SUPP. 1—POLICY ON THE CONTROL OF MATERIALS AND FACILITIES BY THE USE OF PRIORITIES AND ALLOCATION AUTHORITY UNDER DISASTER CONDITIONS

By virtue of the authority vested in me by Executive Order 10480 of August 14, 1953, as amended, it is hereby ordered as follows:

1. Controls on the distribution and use of materials and facilities shall be used to assist in providing materials and facilities for the restoration of productive capacity damaged or destroyed by a major disaster as defined and determined under the provisions of Public Law 875, 81st Cong. (42 U. S. C. 1855):

(a) Whenever the facility to be restored has production orders identified by the symbols A-E.

(b) Whenever failure to restore the facility would result in failure to meet a defense delivery schedule.

(c) Whenever failure to restore the facility would prevent the provision of a service necessary to meet a defense delivery schedule.

(d) When and to the extent that assistance is necessary to restore mobilization base capacity for the production of defense items including materials and services covered by Office of Defense Mobilization expansion goals whether or not such goals remain open.

2. This Supplement shall take effect August 27, 1955.

OFFICE OF DEFENSE MOBILIZATION,
ARTHUR S. FLEMMING,
Director.

[F. R. Doc. 55-7073; Filed, Aug. 29, 1955; 10:18 a. m.]

TITLE 43—PUBLIC LANDS: INTERIOR

Chapter I—Bureau of Land Management, Department of the Interior

Appendix C—Public Land Orders

[Public Land Order 1209]

[Washington 01330]

WASHINGTON

RESERVING PUBLIC LANDS IN CONNECTION WITH PHALON LAKE PUBLIC FISHING AREA; REVOKING EXECUTIVE ORDER NO. 3747 OF OCTOBER 16, 1922

By virtue of the authority vested in the President by section 1 of the act of June 25, 1910 (36 Stat. 847; 43 U. S. C. 141), and otherwise, and pursuant to Executive Order No. 10355 of May 26, 1952, and the act of March 10, 1934, as amended by the act of August 14, 1946 (48 Stat. 401; 60 Stat. 1080; 16 U. S. C. 661-666c), it is ordered as follows:

Subject to valid existing rights, the following-described public lands in Washington are hereby withdrawn from all forms of appropriation under the public-land laws, including the mining but not the mineral-leasing laws, and reserved under the jurisdiction of the Department of the Interior for use of the Department of Game of the State of Washington in connection with the Phalon Lake Public Fishing Area, under such conditions as may be prescribed by the Secretary of the Interior:

WILLAMETTE MERIDIAN

T. 38 N., R. 39 E.,
Sec. 21, lot 3.

The tract described contains 9.70 acres.

Executive Order No. 3747 of October 16, 1922, reserving the above-described tract for use of the Bureau of Fisheries for fish-cultural purposes, is hereby revoked.

ORME LEWIS,
Assistant Secretary of the Interior.

AUGUST 23, 1955.

[F. R. Doc. 55-6996; Filed, Aug. 29, 1955; 8:45 a. m.]

[Public Land Order 1210]

[Misc. 69028]

CALIFORNIA

POWER SITE RESTORATION NO. 517 AND RESERVOIR SITE RESTORATION NO. 22; PARTIALLY REVOKING RESERVOIR SITE NO. 17 AND POWER SITE RESERVE NO. 326; REVOKING POWER SITE RESERVE NO. 205

By virtue of the authority vested in the President by Section 1 of the act of June 25, 1910 (36 Stat. 847; 43 U. S. C. 141), and pursuant to Executive Order No. 10355 of May 26, 1952, it is ordered as follows:

1. The orders described below, withdrawing public lands as indicated, are hereby revoked so far as they affect the following-described lands:

(a) The Executive order of June 8, 1926, creating Reservoir Site Reserve No. 17 (Pacific Slope Basins in California):

MOUNT DIABLO MERIDIAN

T. 36 N., R. 4 W.,
Sec. 32, SE¼NE¼.
T. 36 N., R. 5 W.,
Sec. 22, SW¼;
Sec. 34, SE¼NE¼, SW¼NW¼, N½S½.

The areas described aggregate 440 acres.

(b) The Executive order of December 11, 1912, creating Power Site Reserve No. 326, Sacramento River No. 2, California:

MOUNT DIABLO MERIDIAN

T. 37 N., R. 4 W.,
Sec. 4, SW¼SW¼.
T. 40 N., R. 4 W.,
Sec. 28, SW¼SW¼.
T. 36 N., R. 5 W.,
Sec. 2, SW¼NE¼;
Sec. 10, E½SE¼;
Sec. 11, W½, NE¼.

The areas described aggregate 280 acres.

2. The Executive order of September 26, 1911, reserving the following-described lands as Power Site Reserve No. 205, is hereby revoked:

MOUNT DIABLO MERIDIAN

T. 39 N., R. 4 W.,
Sec. 2, lots 1 and 2.

The areas described aggregate 20.77 acres.

3. An order of the Acting Director of the Geological Survey of June 9, 1955 (Power Site Cancellation No. 104) cancelled the Departmental order of August 24, 1933, so far as it approved the classification as power sites in Power Site Classification No. 267 of the following-described lands:

MOUNT DIABLO MERIDIAN

T. 36 N., R. 4 W.,
Sec. 32, SE¼NE¼.
T. 36 N., R. 5 W.,
Sec. 22, SW¼;
Sec. 34, SE¼NE¼, SW¼NW¼, N½S½.

The areas described aggregate 440 acres.

4. The Federal Power Commission in Docket No. DA-868—California, adopted June 8, 1945, vacated the power withdrawal of the following-described land, which was reserved under the provisions of Section 24 of the Federal Power Act pursuant to the filing of an application on April 14, 1934, for license under the act for proposed Water-Power Project No. 1270:

MOUNT DIABLO MERIDIAN

T. 36 N., R. 5 W.,
Sec. 34, NE¼SE¼NE¼.

The area described contains 10 acres.

5. All the lands released from withdrawal by this order, or by the orders described in paragraphs 2 and 3, are included in other withdrawals or disposals as follows:

(a) In First Form Reclamation Withdrawal:

T. 36 N., R. 4 W.,
Sec. 32, SE¼NE¼.
T. 36 N., R. 5 W.,
Sec. 22, SW¼;
Sec. 34, SW¼NW¼, SE¼NE¼, N½S½.

(b) By Executive Order No. 4203 of April 14, 1925, in aid of classification pursuant to the authority vested in the President by section 1 of the act of June 25, 1910 (36 Stat. 847; 43 U. S. C. 141), as amended:

T. 37 N., R. 4 W.,
Sec. 4, SW¼SW¼.
T. 36 N., R. 5 W.,
Sec. 10, E½SE¼;
Sec. 11, SW¼NE¼.

(c) Approved State school selections:

T. 40 N., R. 4 W.,
Sec. 28, SW¼SW¼.
T. 36 N., R. 5 W.,
Sec. 2, SW¼NE¼.

(d) Patented lands:

T. 36 N., R. 5 W.,
Sec. 11, NW¼NE¼.

(e) In Power Project No. 560 effective December 6, 1924:

T. 36 N., R. 5 W.,
Sec. 34, N½SE¼.

(f) In Shasta National Forest:

T. 36 N., R. 4 W.,
Sec. 32.
T. 39 N., R. 4 W.,
Sec. 2, lots 1 and 2.
T. 40 N., R. 4 W.,
Sec. 28, SW¼SW¼.
T. 36 N., R. 5 W.,
Secs. 22 and 34.
T. 36 N., R. 5 W.,
Sec. 2, SW¼NE¼;
Sec. 10, E½SE¼;
Sec. 11, W½NE¼.

6. The SE¼SE¼, sec. 10, T. 36 N., R. 5 W., was restored to location, entry or selection, subject to the provisions of Section 24 of the Federal Power Act and to the withdrawal for national forest purposes, by Departmental order of July 12, 1935 (Restoration No. 826).

7. The undisposed of national forest lands, subject to the provisions of existing withdrawals, shall become subject to the public-land laws relating to national forest lands on the 91st day after publication of this order in the FEDERAL REGISTER.

8. Effective on the date of publication of this order in the FEDERAL REGISTER, the lands released from withdrawal by this order, other than the State school and patented lands, and the lands in first form reclamation withdrawal, shall be subject for a period of 90 days to application by the State of California under any statute or regulation applicable thereto, for rights-of-way for public highways or as a source of material for the construction and maintenance of such highways pursuant to Section 24 of the Federal Power Act as amended (16 U. S. C. 1946 ed., Supp. V, 818).

ORME LEWIS,
Assistant Secretary of the Interior.

AUGUST 23, 1955.

[F. R. Doc. 55-6997; Filed, Aug. 29, 1955; 8:45 a. m.]

PROPOSED RULE MAKING

DEPARTMENT OF AGRICULTURE

Agricultural Marketing Service

[7 CFR Part 953]

[Docket No. AO144-A6]

HANDLING OF LEMONS GROWN IN CALIFORNIA AND ARIZONA

NOTICE OF RECOMMENDED DECISION AND OPPORTUNITY TO FILE WRITTEN EXCEPTIONS WITH RESPECT TO PROPOSED FURTHER AMENDMENTS TO MARKETING AGREEMENT AND ORDER

Correction

In F. R. Document 55-6871, appearing in the issue for Wednesday, August 24, 1955, at page 6191, change the word "protest" in column 2, line 5, page 6192, to read "protect".

[7 CFR Part 1004]

[Docket No. AO-271]

HANDLING OF MILK IN CENTRAL ARIZONA MARKETING AREA

NOTICE OF RECOMMENDED DECISION AND OPPORTUNITY TO FILE WRITTEN EXCEPTIONS THERETO WITH RESPECT TO PROPOSED MARKETING AGREEMENT AND ORDER

Pursuant to the rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and orders (7 CFR Part 900), notice is hereby given of the filing with the Hearing Clerk of this recommended decision of the Deputy Administrator, Agricultural Marketing Service, United States Department of Agriculture, with respect to a proposed marketing agreement and order regulating the handling